

ZAMORA v. CLAPP

22CV46467

(Related to 16CV41649 and 19PR8129)

DEFENDANT'S DEMURRER TO COMPLAINT

This is a partnership dispute involving the management of real property and two residential units thereon. Before the Court is a demurrer to the operative verified Complaint, which includes causes of action for breach of fiduciary duty, fraud, negligence and waste. The basis for the demurrer is simple: this action should either abate or await the conclusion of the appeal in 16CV41649.

Pertinent Background

In November of 2007, Gus Zamora (father, now deceased), Dave Zamora (son and acting trustee of father's trust) and Clyde Clapp (Gus' close friend) pooled together their respective resources to acquire APN 073-044-006, commonly known as 1521 Country View Drive in Valley Springs. Although all three were to share equally in the \$138,000 down payment, Dave or Gus (the pleading is unclear) advanced Clyde's share. The balance of the purchase price was covered by a loan from Indymac.

Over the years, the parties contributed different efforts to the property, which eventually came to house a second rental dwelling. Shortly after the second dwelling was rented, a disagreement arose between the parties regarding contributions and sweat equity, prompting Gus to file a lawsuit against Clyde (16CV41649). Given to his advanced years (91) and diminishing health, Gus was represented throughout most of the case by his son Dave, in the latter's capacity as a *guardian ad litem*. Gus died while the action was pending. The dispute was subject of a bench trial in April of 2021. Following witness testimony and the admission of nearly 200 exhibits, this court found that a partnership did exist, that it was not impliedly terminated by Gus or Dave, and that Clyde breached his fiduciary duties to the other partners by treating the property as his own (recording title and keeping rent checks). Judgment was entered for Gus and Dave. This Court ordered that the subject property was to be sold, with Clyde taking 1/3 of the net proceeds and Gus/Dave to receive the balance. (See Statement of Decision dated 06/21/21, and Judgment entered 09/07/21.) This Court denied Clyde's motion for a new trial. Clyde filed an appeal, which remains active in the briefing phase. (See C095440.)

On 04/21/22, Clyde listed the property sale for \$589,000 (see CCARMLS #2006073) on his own and without involving Dave or this Court. Dave filed a motion for a preliminary injunction in the probate case (19PR8129), barring Clyde from proceeding with the sale without acknowledging Dave's interest therein. Clyde removed the listing two months

later in response to this Court's granting of a TRO (see Minute Order dated 06/16/22) and preliminary injunction (see Minute order dated 08/05/22). This Court advised the parties that they could sell the property if they wanted to work together and hold the funds in a constructive trust pending the resolution of the appeal, but to the extent Clyde may prefer to keep the property should the appeal go his way, any sale would have to wait. Although plaintiff herein contends that Clyde is causing waste to the property, that is arguably a matter to be taken up after the appeal (since if the property ends up belonging to Clyde, his "waste" is irrelevant).

The Pending Demurrer to Abate

First, pursuant to Calaveras County Superior Court Local Rule 3.3.7, "all matters noticed for the Law & Motion calendar shall include" specified language in the Notice of Motion, and "failure to include this language in the notice may be a basis for the Court to deny the motion." Defendant did not include this required language.

Second, every demurrer must include a declaration from the filing attesting to a good faith effort to meet and confer with the pleader beforehand (CCP §431.40), and the papers on file here do not include any such declaration. The declaration from Attorney Foley only addresses a proposed stay of the case, not the legal and factual issues supporting a demurrer.

Finally, this appears to be a special demurrer to the entire Complaint and all four causes of action therein on the singular ground that "there is another action pending between the same parties on the same cause of action." (CCP §430.10(c).) This is commonly referred to as a plea in abatement. (See *Plant Insulation Co. v. Fibreboard Corp.* (1990) 224 Cal.App.3d 781, 789.) There must be the same exact causes of action in both cases for abatement to apply (see *Bush v. Superior Court* (1992) 10 Cal.App.4th 1374, 1384), and defendant has not established this parity without a Request for Judicial Notice or other evidence to consider. There are certainly overlapping interests in the case at bar and 16CV41649, but as plaintiff notes, the claims relate not only to past wrongs but to ongoing shortcomings by Clyde as a partner (allowing the property to fall into disrepair and not making it as productive as possible).

Nevertheless, this Court agrees with the defense that a stay is warranted. Pursuant to CCP §128(a)(3), every court has the power to provide for the orderly conduct of proceedings. Courts should consider the interests of the plaintiff in proceeding expeditiously, the burden (if any) on the defendant, the convenience of the court in the management of its cases and the efficient use of judicial resources, and the overarching interest of the public in the pending litigation. (*Avant! Corp v. Superior Court* (2000) 79 Cal.App.4th 876, 884.) When the request for a stay is premised on related litigation in another forum, a court should consider the interests of justice and judicial economy, the cost of multiple and vexatious litigation, any risk of inconsistent rulings, the ability of the litigants to obtain full relief, and the convenience of the parties. (*Leadford v. Leadford* (1992) 6 Cal.App.4th 571, 574-575.) A stay is appropriate where there is a strong

probability that issues necessary to a determination of the action would be concluded, in whole or in part, in the other proceeding. (*Federal Ins. Co. v. Superior Court* (1998) 60 Cal.App.4th 1370, 1373; *Belnap Freight Lines, Inc. v. Petty* (1975) 46 Cal.App.3d 159, 164.) Here, the appellate court most likely will resolve some of the issues herein. Moreover, to the extent ownership interests are subsumed within the appellate court's jurisdiction, a mandatory stay might also be in place. (CCP §916.)

Demurrer OVERRULED. This case is hereby stayed in the interests of justice. Case Management Conference scheduled for 4/12/23 is continued to August 30, 2023, at 1:30 p.m. in Department 4. The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to prepare a formal Order pursuant to Rule of Court 3.1312 in conformity with this Ruling.